

YEAR 12 BUSINESS

First Lesson Back

A ready-to-run 60-minute opening lesson for the start of A-Level Business, plus a baseline diagnostic.

AQA 7132 · Theme 1

Enterprise · Entrepreneurs · Risk

Print-friendly · B&W

Real UK companies. No prep needed beyond printing. Free to use and share with your department.

Teacher run sheet — 60 minutes

Everything below is on the student pages that follow. You can teach this straight from the print-out. Timings are a guide — the Gymshark hook and the risk debate are the parts worth protecting.

Time	Phase	What happens
0–8 min	Do-Now (p.3)	Students read the Gymshark story and answer 3 questions solo, then compare in pairs.
8–20 min	Hook discussion	Whole-class: was Ben Francis lucky or good? Draw out enterprise, risk, opportunity.
20–35 min	Core: risk & reward (p.4)	Key terms, then the M&S cyber-attack case — who carries the risk, and who pays for it?
35–48 min	Founder match task (p.5)	Pair task: match enterprise traits to real founders, then justify one choice.
48–58 min	Baseline diagnostic (p.6)	10 quick questions. No marks pressure — it tells you what they already know.
58–60 min	Exit ticket (p.8)	One thing they learned, one thing they want to run a business to find out.

Learning outcomes

- Explain what an entrepreneur does and the kinds of risk they take on.
- Tell the difference between revenue and profit, and why a growing business can still make less profit.
- Identify the stakeholders affected by a business decision and whose interests pull in different directions.

You'll need: this print-out (one per student is ideal, one per pair works). No slides, logins, or board work required. If you only have 40 minutes, drop the Founder match task.

Do-Now — a 19-year-old in a garage

Read this on your own. You have five minutes. Then answer the three questions before you talk to anyone.

Gymshark

In 2012, Ben Francis was 19, working a pizza-delivery job and studying in Birmingham. He started screen-printing gym wear in his parents' garage and selling it online. He couldn't afford big-name sponsorships, so he sent free clothing to fitness personalities on social media and let them do the talking.

Gymshark now sells in around 230 countries and turned over roughly £646 million in its 2025 financial year. In 2020, the investment firm General Atlantic took about a 20% stake in a deal that valued the company at around £1.45 billion. Francis kept control.

But that same year, pre-tax profit was only about £7m — the business keeps pouring money back into growth rather than banking it.

Answer on your own first

1. Name two things Ben Francis risked by starting Gymshark instead of finishing his studies and keeping the pizza job.
2. He had almost no marketing budget. What did he do instead, and why might that have worked *better* than paying for adverts?
3. The company makes £646m of sales but only £7m profit. Is that a problem? Give one reason it might be fine, and one reason it might worry an owner.

Pair up (3 min): swap answers to Q3. You almost certainly disagree on whether low profit is a problem. That argument is the whole of A-Level Business in miniature — hold onto it.

Core — risk, reward, and who carries it

Five terms you'll use every week this year. Write the definition in your own words next to each.

Term	What it means	In one line
Entrepreneur	Someone who spots an opportunity and takes a financial risk to turn it into a business.	Ben Francis.
Revenue	The total money a business takes in from sales before any costs are taken off.	Gymshark's ~£646m.
Profit	What's left after you subtract costs from revenue.	Gymshark's ~£7m.
Risk	The chance that a decision loses money or fails — the price of a possible reward.	Quitting a stable job.
Stakeholder	Any person or group affected by what a business does.	Staff, customers, owners.

The risk nobody chose — M&S, 2025

In 2025 Marks & Spencer was hit by a major cyber-attack. Online ordering was suspended for weeks, shelves had gaps, and the company estimated the hit to its operating profit at around £300 million.

Nobody at M&S chose to take this risk — but they carried it anyway. That's the point: risk in business isn't only the risk an entrepreneur signs up for. It arrives uninvited too.

Discuss as a class

- List four **stakeholders** affected by the M&S attack. For each, say in a few words how they were hit.
- An owner takes risk on purpose for a reward. M&S's shareholders took a £300m hit they never chose. Is that fair? Should anyone be able to limit it?
- Would you spend £50m a year on cyber-security to *maybe* prevent a £300m loss that *might* never happen? Defend your answer — there's no clean right answer, and that's deliberate.

Pair task — what makes an entrepreneur?

Below are six traits people often link to entrepreneurs, and four real UK businesses. Work in pairs.

The traits

- **Spots a gap** others missed
- **Comfortable with risk** — happy to bet on an unknown outcome
- **Resilient** — keeps going after setbacks
- **Resourceful** — gets a lot from very little
- **Long-term** — will sacrifice profit now for growth later
- **Reads the customer** — understands what people actually want

The businesses

Business	One real fact to work from
Gymshark	Built a global brand from a garage with free product instead of a marketing budget.
Greggs	Turned a bakery into ~2,600 UK shops; pushed into hot food and after-4pm trading to find new sales.
Aldi	Grew to ~45,000 UK staff by stripping out cost and range to keep prices low.
A failed start-up (your example)	Pick one you know of — a shop, app, or brand near you that didn't make it.

Your task

1. Match at least two traits to each of the three real businesses. A trait can be used more than once.
2. Pick the **one** trait you think matters most for surviving the first year, and write two sentences defending it. Be ready to disagree with the pair next to you.
3. Stretch: most start-ups don't fail because the founder lacked a trait. Suggest one outside reason a good entrepreneur can still fail (think money, timing, competition).

Baseline diagnostic — 10 quick questions

This isn't a test. It tells your teacher what you already know so the year starts in the right place. Answer in one line each. Guess if you're not sure.

1. What is the difference between **revenue** and **profit**?
2. Give one **risk** someone takes when they start a business.
3. Name two different **stakeholders** of a supermarket.
4. A coffee costs £1.10 to make and sells for £3.20. What is the **profit per cup**?
5. What does it mean to say a business has gone **bankrupt**?
6. Give one reason a business might choose to **grow more slowly**.
7. What is the difference between a **good** and a **service**? Give an example of each.
8. Why might two people look at the same business decision and completely **disagree**?
9. Name a UK business you think is run well, and say **why** in one line.
10. Finish the sentence: "The main reason businesses exist is to..."

Baseline — answer guidance (teacher)

Use these to gauge starting points, not to mark harshly. Q4 is the only one with a single right answer.

Q	What you're looking for
1	Revenue = all money from sales; profit = what's left after costs. Many will blur the two — worth catching early.
2	Losing savings, debt, job security, time, reputation. Accept any genuine downside.
3	Any two of: customers, staff, owners/shareholders, suppliers, local community, government.
4	£3.20 - £1.10 = £2.10 per cup. Note who reaches for a calculator vs sees it instantly.
5	The business can't pay what it owes and has to stop trading / is wound up. Accept the gist.
6	Keep control, protect quality, avoid borrowing, manage cash, founder's choice. Any reasoned answer.
7	Good = physical (trainers); service = a thing done for you (a haircut). Mixed answers are fine to discuss.
8	Different stakeholders, different aims, different attitude to risk. This is the seed of evaluation — flag it.
9	Looking for any reason beyond 'it's big' — value, service, treatment of staff, a clever decision.
10	There's no single answer. 'Make a profit', 'meet a need', 'serve customers' all open good debate.

Quick read of the room: if most students nail Q1 and Q4, you can move faster through the early finance basics. If Q8 produces blank looks, build in more 'why do people disagree' work before you reach the first 12-mark questions — that's the skill the top grades are built on.

Plenary & exit ticket

Exit ticket — hand in on the way out

- One thing you understand now that you didn't at the start of the lesson.
- One thing you'd want to find out by actually *running* a business, not just reading about one.

What's coming this year

Theme 1 is about exactly what we did today — enterprise, entrepreneurs, markets and the risks of starting up. From there you'll move into marketing, people, operations and finance, and learn to argue both sides of a decision under exam conditions. Keep today's Gymshark argument in mind: *almost every question this year has two defensible answers*.

Want them to actually run a business?

This pack came from **The Business School** — a browser-based classroom simulation where students run a company in teams: set prices, hire staff, take out loans, file VAT and negotiate deals over a single 60-minute session. They join with a PIN, you watch a live dashboard, and it grades itself at the end. No installs.

There's a free pilot running for teachers at **thebusiness.school**. No pressure — this lesson pack is yours to keep and share either way.

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Company figures from publicly reported sources (Companies House filings and reputable press, 2024–2025): Gymshark FY25 revenue ~£646m / pre-tax profit ~£7m / 2020 ~20% stake at ~£1.45bn valuation; M&S 2025 cyber-attack ~£300m operating-profit impact; Greggs ~2,600 UK shops; Aldi ~45,000 UK staff.